

****NovaMart Internal Document****

Business Glossary and Terminology Handbook

****Document Type:** Reference & Definitions**

****Applies To:**** AI Business Analyst, Analytics Teams, Management Reporting, All NovaMart Staff

****Data Coverage:**** December 2009 – December 2011

****Primary Demonstration Period:**** Q3 2011

****Version:**** 1.0

****Status:**** Internal Use Only

1. Purpose

This Business Glossary and Terminology Handbook establishes authoritative definitions for the business terms, acronyms, and concepts used across NovaMart's internal documentation and analytical work. Its primary purpose is to ensure consistent interpretation of language across all reporting, dashboards, AI-driven insights, and management communications.

The AI Business Analyst must use these definitions when interpreting transaction data and management questions. Any term used in analysis that is not defined here should be flagged for inclusion in a future revision of this document.

This glossary is a companion to the following NovaMart internal documents:

- Internal Company Profile
- KPI Definitions and Business Metrics Handbook
- Management Targets and Performance Thresholds
- Pricing and Discount Policy
- Regional Strategy and Market Operations
- Product Portfolio and Category Strategy
- Q3 2011 Management Notes

2. How to Use This Glossary

- ****For the AI Business Analyst:**** Apply these definitions consistently when generating insights, answering management questions, or interpreting data. When a term has multiple meanings, use the context of the question to select the appropriate definition.
- ****For Management:**** Use this glossary as the authoritative reference when communicating with analytics teams. Avoid using undefined terms or ambiguous language.
- ****For Analytics Teams:**** Reference this glossary when designing reports, dashboards, or analyses. Ensure that all outputs use terms consistently with these definitions.
- ****Updates:**** This document is a living reference. New terms should be added as they emerge. Any changes must be approved by the Analytics Governance Committee.

3. Core Business Terms

3.1 Company and Business Model Terms

| Term | Definition | Notes |

|-----|-----|-----|

| **NovaMart** | A fictional international e-commerce retailer selling consumer products online. | The company is fictional but realistic. All data and scenarios are for demonstration purposes. |

| **E-commerce** | The buying and selling of goods or services using the internet, and the transfer of money and data to execute these transactions. | NovaMart operates a pure-play e-commerce model with no physical retail stores. |

| **DTC (Direct-to-Consumer)** | A business model where products are sold directly to the end customer, bypassing intermediaries such as wholesalers or retailers. | NovaMart's primary revenue stream. |

| **B2B (Business-to-Business)** | A business model where products or services are sold to other businesses rather than individual consumers. | A secondary revenue stream for NovaMart, serving business and wholesale customers. |

| **Pure-play e-commerce** | A business that operates exclusively online without any physical retail presence. | NovaMart is a pure-play e-commerce retailer. |

| **International operations** | Business activities conducted across multiple countries and regions. | NovaMart operates in the UK, Continental Europe, APAC, and Other International markets. |

3.2 Reporting and Analytical Periods

| Term | Definition | Notes |

|-----|-----|-----|

| **Analytical dataset** | The cleaned transaction dataset used by the AI Business Analyst for analysis. | Covers December 2009 through December 2011. |

| **Primary demonstration period** | The main period used for management reporting and demonstration. | Q3 2011 (July – September 2011). |

| **Q3** | The third quarter of a calendar year, covering July, August, and September. |
NovaMart reports on a calendar-year basis. |

| **Q3 2011** | The third quarter of 2011, covering July 1, 2011 through September 30, 2011. | Primary demonstration period for the AI Business Analyst. |

| **Period-over-period** | A comparison between one period and another comparable period. | Common comparisons include Q3 2011 vs. Q3 2010 (year-over-year) or Q3 2011 vs. Q2 2011 (quarter-over-quarter). |

| **Year-over-year (YoY)** | A comparison between a period and the same period in the previous year. | Used for growth analysis and seasonal comparison. |

| **Quarter-over-quarter (QoQ)** | A comparison between one quarter and the immediately preceding quarter. | Used for short-term trend analysis. |

4. Customer and Segment Terms

| Term | Definition | Notes |

|-----|-----|-----|

| **Retail customers** | Individual customers who purchase products for personal use. |
The broadest customer segment. Primary goal is acquisition and conversion to repeat customers. |

| **Repeat customers** | Customers who have made more than one completed purchase. |
Can be measured within a period (e.g., two orders in Q3 2011) or on a lifetime basis.
Context must be stated. |

| **High-value customers** | A subset of repeat customers who exhibit high lifetime value (LTV), characterized by high purchase frequency and/or high average order value. | Key focus for retention and VIP-level engagement. |

| **Business/wholesale customers** | Customers who purchase in bulk, often for resale or corporate use. | Behaviour differs significantly from retail customers. Analysed separately. |

| ****Active customers**** | Customers with at least one completed purchase in a specified period. | Used to measure engagement. |

| ****Unique customers**** | The count of distinct customer IDs in the dataset (all time or within a period). | Does not indicate activity level. |

| ****Customer lifetime value (LTV)**** | The total revenue expected from a customer over the entire duration of their relationship with the company. | Approximation based on historical transaction data. No cost-to-serve data available. |

| ****Customer retention**** | The ability to keep customers purchasing over time. | Measured by repeat customer rate. Target: 75%. |

| ****Repeat customer rate**** | The proportion of active customers in a period who are repeat customers. | Formula: $(\text{Repeat Customers} / \text{Active Customers}) \times 100$. Definition must be stated (period or lifetime). |

| ****Purchase frequency**** | The average number of completed orders per active customer in a period. | Formula: $\text{Total Completed Orders} / \text{Total Active Customers}$. |

| ****Recency**** | The number of days since a customer's last completed purchase, relative to the analysis date. | Used as a churn risk indicator. |

| ****Customer activity**** | The overall level of customer engagement, measured by purchase frequency, recency, and order count. | Management expects repeat-purchase behaviour to improve over time. |

5. Financial and Revenue Terms

| Term | Definition | Notes |

|-----|-----|-----|

| ****Revenue**** | The total monetary value of completed sales transactions. | Formula: $\text{Quantity} \times \text{Unit Price}$ (net of returns, excluding cancellations). |

| ****Gross revenue**** | Revenue before deducting returns or discounts. | Not directly measurable from the base dataset if discount data is unavailable. |

| **Net revenue** | Revenue after deducting returns. | Returns, if present as negative-quantity transactions, are subtracted in the period they occur. |

| **Order** | A unique purchase event identified by a single Invoice/Order ID. | Cancelled orders are not counted. |

| **Order count** | The number of unique completed orders. | Formula: Count of distinct Invoice IDs for completed transactions. |

| **Average Order Value (AOV)** | The average monetary value of a completed order. | Formula: Total Revenue / Number of Completed Orders. Target: Increase by 8% YoY. |

| **Revenue growth** | The percentage change in revenue between two comparable periods. | Formula: $((\text{Current Period Revenue} - \text{Previous Period Revenue}) / \text{Previous Period Revenue}) \times 100$. Annual target: 12%. |

| **Revenue contribution** | The share of total revenue attributable to a specific segment (country, region, product, category, customer segment). | Formula: $(\text{Segment Revenue} / \text{Total Revenue}) \times 100$. |

| **Growth by country** | Revenue growth for a specific country between two periods. | Formula: Same as Revenue Growth, applied to a specific country. |

| **Growth by product** | Revenue growth for a specific product between two periods. | Formula: Same as Revenue Growth, applied to a specific product. |

| **Discount** | A reduction in the standard selling price of a product. | Standard maximum: 20%. Discounts above 20% require management approval. |

| **Discount rate** | The percentage of gross revenue that is reduced by discounts. | **Not directly measurable from the base transaction dataset without additional data.** |

| **Profit margin** | The percentage of revenue remaining after deducting the cost of goods sold (COGS). | **Cannot be calculated from transaction data alone.** Requires separate cost data. |

| **COGS (Cost of Goods Sold)** | The direct cost of producing or acquiring the products sold. | Not present in the base transaction dataset. |

6. Product and Category Terms

| Term | Definition | Notes |

|-----|-----|-----|

| **Product category** | A grouping of products with similar characteristics or purposes. |
NovaMart categories: Electronics, Home & Living, Gifts, Accessories. |

| **Electronics** | A product category including consumer electronics, accessories, and related gadgets. | Strategically important. Subject to availability constraints in Q3 2011. |

| **Home & Living** | A product category including homeware, kitchenware, and decorative items. | Important for repeat purchasing and basket expansion. |

| **Gifts** | A product category including items suitable for gifting occasions. | Seasonal. Important for customer acquisition. |

| **Accessories** | A product category including fashion accessories, bags, and personal items. | High purchase frequency. Supports cross-selling. |

| **Units sold** | The total quantity of a product sold in completed transactions. | Formula: Sum of Quantity for the product across all completed orders. |

| **Product revenue** | The total revenue generated by a product. | Formula: Sum of (Quantity × Unit Price) for the product. |

| **Product contribution** | The share of total revenue attributable to a specific product. | Formula: (Product Revenue / Total Revenue) × 100. |

| **Product mix** | The composition of products sold, by category or individual product. | Used to assess assortment performance and customer preferences. |

| **Growth products** | Products with strong and sustained positive performance. | Qualitative classification. No fixed numerical thresholds. |

| **Watch products** | Products showing instability or weakening performance. | Qualitative classification. Requires investigation. |

| **At-risk products** | Products showing substantial and persistent deterioration. | Qualitative classification. Reviewed for discontinuation or repositioning. |

| **Product concentration** | The degree to which revenue depends on a small number of products. | Management monitors for excessive concentration. No fixed numerical threshold. |

| ****Assortment**** | The collection of products offered for sale. | Subject to periodic review. Changes may affect period-over-period comparisons. |

| ****Product availability**** | The extent to which products are in stock and available for purchase. | Repeated stock-related disruption is a high-priority operational issue. |

7. Regional and Geographic Terms

| Term | Definition | Notes |

|-----|-----|-----|

| ****Reporting region**** | A geographic grouping used for management reporting and analysis. | NovaMart regions: UK, Continental Europe, APAC, Other International. |

| ****UK (United Kingdom)**** | NovaMart's original core market. | Focus: retention, repeat purchasing, product breadth, operational efficiency. |

| ****Continental Europe**** | A reporting region including Germany, France, the Netherlands, and other European markets. | Focus: localized growth, product availability, customer acquisition, logistics efficiency. |

| ****APAC (Asia-Pacific)**** | A reporting region including Australia and other Asia-Pacific markets. | Strategically important. Australia is the most established market. Target: 15% annual growth. |

| ****Other International**** | A reporting region including all markets outside the UK, Continental Europe, and APAC. | Focus: opportunistic growth, low operational overhead. |

| ****Australia**** | An important APAC market and the operational anchor for the region. | Strategic priorities: expansion, reliable distribution, customer acquisition, repeat purchasing, product availability. |

| ****Strategically important markets**** | Markets designated by management as priorities for growth and investment. | Target: At least 10% annual growth. Reviewed periodically. |

| ****International expansion**** | Growth in markets outside the UK. | Target: At least 8% annual growth outside the UK. |

| **Regional growth** | Revenue growth for a specific reporting region. | Formula: Same as Revenue Growth, applied to a region. |

8. Operational and Distribution Terms

| Term | Definition | Notes |

|-----|-----|-----|

| **Distribution** | The process of getting products from suppliers or warehouses to customers. | Varies by region: self-managed, partner-operated, or hybrid. |

| **Distribution transition** | The planned process of changing a distribution partner or arrangement. | Occurred in APAC during Q3 2011. Management is monitoring for potential impact. |

| **Fulfilment** | The process of receiving, processing, and delivering customer orders. | Includes picking, packing, and shipping. |

| **Order fulfilment friction** | Temporary disruption or delay in the order fulfilment process. | May occur during distribution transitions. Extent and impact require analysis. |

| **Operational reliability** | The consistency and dependability of operational processes, including fulfilment and delivery. | Evaluated as part of regional KPI framework. |

| **Stockout** | A situation where a product is unavailable for purchase due to inventory depletion. | Repeated stockouts are a high-priority operational issue. |

| **Inventory clearance** | The process of selling off excess or obsolete stock, often through discounts. | May use higher discount levels with formal approval. |

| **Supply-side constraint** | A limitation on the availability of products due to factors upstream in the supply chain. | Affected certain electronics products in Q3 2011. |

9. Analytical and Governance Terms

| Term | Definition | Notes |

|-----|-----|-----|

| **KPI (Key Performance Indicator)** | A measurable value that demonstrates how effectively a company is achieving key business objectives. | Defined in the KPI Definitions and Business Metrics Handbook. |

| **Anomaly** | An unusual movement in a metric relative to recent historical behavior. | Analytical signal, not proof of cause. |

| **Fact** | A statement directly derived from measurable data. | Example: "Revenue declined 15% in Q3 2011 compared to Q3 2010." |

| **Interpretation** | An explanation, opinion, or causal claim. | Example: "Distributor problems caused the decline." Requires additional evidence. |

| **Correlation** | A statistical relationship between two variables. | Does not imply causation. |

| **Causation** | A relationship where one event is the direct result of another. | Requires temporal precedence, mechanism, elimination of confounders, and supporting evidence. |

| **Confidence level** | An indicator of how reliable a metric or finding is. | High, Medium, or Low based on data completeness, sample size, and stability. |

| **Data insufficiency** | A situation where data is inadequate to draw reliable conclusions. | Key fields missing, sample size too small, or period incomplete. |

| **Performance status framework** | A three-tier system (Green, Amber, Red) for communicating performance against targets. | Green: meets/exceeds; Amber: close or emerging risk; Red: materially misses. |

| **Management review trigger** | A condition that automatically requires management attention. | Examples: Red status, persistent Amber, discount above 20% without approval. |

| **Governance** | The framework of rules, practices, and processes by which NovaMart is directed and controlled. | Ensures consistency, accountability, and compliance. |

| **RAG (Retrieval-Augmented Generation)** | An AI technique that combines information retrieval with language generation to produce informed responses. | NovaMart documents serve as RAG knowledge sources for the AI Business Analyst. |

10. Pricing and Discount Terms

| Term | Definition | Notes |

|-----|-----|-----|

| **Standard discount threshold** | The maximum discount that may be applied without additional approval. | 20%. |

| **Management approval** | Formal sign-off required for discounts above the standard threshold. | Requires business justification, expected impact, duration, and appropriate manager sign-off. |

| **Promotional campaign** | A coordinated marketing effort to achieve specific objectives. | May be used for acquisition, seasonal campaigns, inventory clearance, product launches, or retention. |

| **Discount discipline** | The practice of applying discounts strategically and within policy limits. | A strategic priority for NovaMart. |

| **Promotional dependency** | A situation where customers wait for promotions before purchasing. | A risk of excessive discounting. |

| **Realized revenue per unit** | The actual revenue received per unit after discounts. | Reduced by excessive discounting. |

| **Discount governance** | The framework for approving, monitoring, and reviewing discounts. | Defined in the Pricing and Discount Policy. |

| **Approval matrix** | A hierarchy defining who can approve discounts at different levels. | 0–20%: standard discretion; 20–30%: manager approval; above 30%: senior management approval. |

11. Strategic Priority Terms

Term	Definition	Notes
------	------------	-------

-----	-----	-----
-------	-------	-------

Sustainable revenue growth	Revenue growth that is durable and not dependent on unsustainable tactics.	Annual target: 12%.
--------------------------------	--	---------------------

Customer retention	The ability to keep customers purchasing over time.	Target: 75%.
------------------------	---	--------------

Average order value (AOV)	The average monetary value of a completed order.	Target: Increase by 8% YoY.
-------------------------------	--	-----------------------------

International market performance	Business results in markets outside the UK.	Target: At least 8% annual growth outside the UK.
--------------------------------------	---	---

Product availability	The extent to which products are in stock and available.	Repeated disruption is a high-priority issue.
--------------------------	--	---

Disciplined discounting	Applying discounts strategically and within policy limits.	Standard maximum: 20%.
-----------------------------	--	------------------------

Operational efficiency	The cost-effectiveness of logistics, fulfilment, and customer service.	A core strategic priority.
----------------------------	--	----------------------------

Localized commercial execution	Adapting marketing, assortment, and operations to local market conditions.	Key focus for Continental Europe and APAC.
------------------------------------	--	--

12. Document Reference Terms

Term	Definition	Notes
------	------------	-------

|-----|-----|-----|

| **Internal Company Profile** | A document providing foundational context about NovaMart's business model, segments, and strategy. | Foundational knowledge source for the AI Business Analyst. |

| **KPI Definitions and Business Metrics Handbook** | A document providing authoritative definitions for all KPIs and metrics. | Used by the AI Business Analyst when interpreting transaction data. |

| **Management Targets and Performance Thresholds** | A document defining management targets and the performance status framework. | Used to assess whether performance is above, below, or close to expectations. |

| **Pricing and Discount Policy** | A document establishing NovaMart's official pricing and discount policy. | Includes approval matrix and governance. |

| **Regional Strategy and Market Operations** | A document providing strategic context for each reporting region. | Includes Q3 2011 operational context. |

| **Product Portfolio and Category Strategy** | A document providing strategic context for each product category. | Includes product performance framework. |

| **Q3 2011 Management Notes** | An internal management memo summarizing operational events, observations, and concerns. | Provides business context but does not reveal analytical answers. |

13. Acronyms and Abbreviations

| Acronym | Full Form | Definition |

|-----|-----|-----|

| **AOV** | Average Order Value | The average monetary value of a completed order. |

| **APAC** | Asia-Pacific | A reporting region including Australia and other Asia-Pacific markets. |

| **B2B** | Business-to-Business | A business model where products are sold to other businesses. |

| **COGS** | Cost of Goods Sold | The direct cost of producing or acquiring products sold. |

| **DTC** | Direct-to-Consumer | A business model where products are sold directly to end customers. |

| **KPI** | Key Performance Indicator | A measurable value demonstrating business objective achievement. |

| **LTV** | Customer Lifetime Value | The total revenue expected from a customer over their relationship. |

| **QoQ** | Quarter-over-Quarter | A comparison between one quarter and the immediately preceding quarter. |

| **Q3** | Third Quarter | July – September. |

| **RAG** | Retrieval-Augmented Generation | An AI technique combining information retrieval with language generation. |

| **UK** | United Kingdom | NovaMart's original core market. |

| **YoY** | Year-over-Year | A comparison between a period and the same period in the previous year. |

14. Interpretation Rules

14.1 Fact vs. Interpretation

| Type | Definition | Example |

|-----|-----|-----|

| **Fact** | A statement directly derived from measurable data. | "Revenue declined 15% in Q3 2011 compared to Q3 2010." |

| **Interpretation** | An explanation, opinion, or causal claim. | "Distributor problems caused the decline." |

14.2 Correlation vs. Causation

| Concept | Definition | Requirement |

|-----|-----|-----|

| **Correlation** | A statistical relationship between two variables. | Does not imply causation. |

| **Causation** | A relationship where one event is the direct result of another. | Requires temporal precedence, mechanism, elimination of confounders, and supporting evidence. |

14.3 Confidence Levels

| Level | Definition | Criteria |

|-----|-----|-----|

| **High** | Data is complete, sample size is sufficient, metric is stable. | No known data quality issues. |

| **Medium** | Some data limitations or moderate sample size. | Findings should be presented with caution. |

| **Low** | Significant data limitations or small sample size. | Findings should not be presented as definitive. |

14.4 Data Insufficiency

Data is insufficient when:

- Key fields are missing or null.
- Sample size is too small to draw reliable conclusions.

- The period is incomplete or not comparable.
- External factors make the data unrepresentative.

In such cases, the AI Business Analyst must explicitly state that the metric cannot be reliably calculated.

15. Glossary Governance

- **Owner:** NovaMart Analytics Governance Committee
- **Review Cycle:** Annually or as business conditions change.
- **Updates:** New terms should be submitted to the Analytics Governance Committee for approval.
- **Compliance:** All analytics outputs and management communications should use terms consistently with this glossary.
- **Fictional Status:** All terms, definitions, and thresholds in this document are fictional NovaMart values created for demonstration purposes. They do not represent real company policies or data.

End of Document

This document is a controlled internal reference. It is intended for use by the AI Business Analyst, analytics teams, and management. Any changes must be approved by the NovaMart Analytics Governance Committee.